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MODULE 2 – ACCOUNTING CYCLE:

Accounting Cycle: Journal, Ledgers, Trial balance, Accounting equation, subsidiary books including cash book with two and three column cashbook only. (Theory and Problems)

Journal is a historical record of business transactions or events. The word journal comes from the French word "Jour" meaning "day". It is a book of original or prime entry written up from the various source documents. Journal is a primary book for recording the day to day transactions in a chronological order i.e. in the order in which they occur. The journal is a form of diary for business transactions. This is also called the book of first entry since every transaction is recorded firstly in the journal. The format of a journal is shown as follows :

Journal

Date	Particulars	L.F.	Debit (Rs.)	Credit (Rs.)
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Meaning of Journalising The process of recording a transaction in the journal is called journalising.

Compound Journal Entries When more than two accounts are involved in a transaction and the transaction is recorded by means of a single journal entry instead of passing several journal entries, such single journal entry is termed as 'Compound Journal Entry'.

LEDGER Journal is a daily record of all business transactions. In the journal all transactions relating to persons, expenses, assets, liabilities and incomes are recorded. Journal does not give a complete picture of the fundamental elements of book keeping i.e. properties, liabilities, proprietorship accounts and expenses and incomes at a glance and at one place. Business transactions being recurring in nature, a number of entries are made for a particular type of transactions such as sales, purchases, receipts and payments of cash, expenses etc., through out the accounting year. The entries are therefore scattered over in the Journal. In fact, the whole Journal will have to be gone through to find out the combined effect of various transactions on a particular account. In case, at any time, a businessman wants to now :

- How much he has to pay to the suppliers/creditors of goods ?
- How much he has to receive from the customers ?
- What is the total amount of purchases and sales made during a particular period?
- How much cash has been spent/incurred on various items of expenses such as salaries, rent, carriage, stationery etc.
- What is the amount of profit or loss made during a particular period ?
- What is the financial position of the unit on a particular date ?

Ledger is a principal book of accounts of the enterprise. It is rightly called as the 'King of Books'. Ledger is a set of accounts. Ledger contains the various personal, real and nominal accounts in which all business transactions of the entity are recorded. The main function of the ledger is to classify and summarise all the items appearing in Journal and other books of original entry under appropriate head/set of accounts so that at the end of the accounting period, each account contains the complete information of all transaction relating to it. A ledger therefore is a collection of accounts and may be defined as a summary statement of all the transactions relating to a person, asset, expense or income which have taken place during a given period of time and shows their net effect.

A Trial Balance is a two-column schedule listing the titles and balances of all the accounts in the order in which they appear in the ledger. The debit balances are listed in the left-hand column and the credit balances in the right-hand column. In the case of the General Ledger, the totals of the two columns should agree. We, now, know the fundamental principle of double entry system of accounting where for every debit, there must be a corresponding credit. Therefore, for every debit or a series of debits given to one or several accounts, there is a corresponding credit or a series of credits of an equal amount given to some other account or accounts and viceversa. Hence, according to this principle, the sum total of debit amounts must equal the credit amounts of the ledger at any date.

If the various accounts in the ledger are balanced, then the total of all debit balances must be equal to the total of all credit balances. If the same is not true then the books of accounts are arithmetically inaccurate. It is, therefore, at the end of the financial year or at any other time, the balances of all the ledger accounts are extracted and are recorded in a statement known as Trial Balance and finally totalled up to see whether the total of debit balances is equal to the total of credit balances.

A Trial Balance may thus be defined as a statement of debit and credit totals or balances extracted from the various accounts in the ledger books with a view to test the arithmetical accuracy of the books. The agreement of the Trial Balance reveals that both the aspects of each transaction have been recorded and that the books are arithmetically accurate. If both the sides of Trial Balance do not agree to each other, it shows that there are some errors, which must be detected and rectified if the correct final accounts are to be prepared. Thus, Trial Balance forms a connecting link between the ledger accounts and the final accounts.

A trial balance can be prepared by the following two methods:

Total method: In this method, the debit and credit totals of each account are shown in the two amount columns (one for the debit total and the other for the credit total).

Balance Method: In this method, the difference of each amount is extracted. If debit side of an account is bigger in amount than the credit side, the difference is put in the debit column of the Trial Balance and if the credit side is bigger, the difference is written in the credit column of the Trial Balance.

ACCOUNTING EQUATION Dual concept states that 'for every debit, there is a credit'. Every transaction should have two-sided effect to the extent of same amount. This concept has resulted in accounting equation which states that at any point of time assets of any entity must be equal (in monetary terms) to the total of owner's equity and outsider's liabilities. In other words, accounting equation is a statement of equality between the assets and the sources which finance the assets and is expressed as : $\text{Assets} = \text{Sources of Finance}$ Assets may be tangible e.g. land, building, plant, machinery, equipment, furniture, investments, cash, bank, stock, debtors etc. or intangible e.g. patent rights, trade marks, goodwill etc.,

Sources include internal i.e. capital provided by the owner and external i.e. liabilities. Liabilities are the obligations of the business to others outsiders. The above equation gets expanded.

Assets = Liabilities + Capital All transactions of a business can be referred to this equation : Assets = Liabilities + Owner's equity

To further explain the transaction of revenues, expenses, losses and gains, the equation can be expanded thus : Assets + Expenses = Liabilities + Revenue + Owner's equity or Assets = Liabilities + (Revenue – Expenses) + Owner's equity or Assets = Liabilities + Owner's equity + Owner's equity (income) which ultimately becomes Assets = Liabilities + Owner's equity

USERS OF ACCOUNTING INFORMATION The basic objective of accounting is to provide information which is useful for persons inside the organisation and for persons or groups outside the organisation. Accounting is the discipline that provides information on which external and internal users of the information may base decisions that result in the allocation of economic resources in society. I. External Users of Accounting Information : External users are those groups or persons who are outside the organisation for whom accounting function is performed. Following can be the various external users of accounting information:

Investors, Those who are interested in investing money in an organisation are interested in knowing the financial health of the organisation of know how safe the investment already made is and how safe their proposed investment will be. To know the financial health, they need accounting information which will help them in evaluating the past performance and future prospects of the organisation. Thus, investors for their investment decisions are dependent upon accounting information included in the financial statements. They can know the profitability and the financial position of the organisation in which they are interested to make that investment by making a study of the accounting information given in the financial statements of the organisation.

Creditors. Creditors (i.e. supplier of goods and services on credit, bankers and other lenders of money) want to know the financial position of a concern before giving loans or granting credit. They want to be sure that the concern will not experience difficulty in making their payment in time i.e. liquid position of the concern is satisfactory. To know the liquid position, they need accounting information relating to current assets, quick assets and current liabilities which is available in the financial statements.

Members of Non-profit Organisations. Members of non-profit organisations such as schools, colleges, hospitals, clubs, charitable institutions etc. need accounting information to know how their contributed funds are being utilised and to ascertain if the organisation deserves continued support or support should be withdrawn keeping in view the bad performance depicted by the accounting information and diverted to another organisation. In knowing the performance of such organisations, criterion will not be the profit made but the main criterion will be the service provided to the society.

Government. Central and State Governments are interested in the accounting information because they want to know earnings or sales for a particular period for purposes of taxation. Income tax returns are examples of financial reports which are prepared with information taken directly from accounting records. Governments also needs accounting information for compiling statistics concerning business which, in turn helps in compiling national accounts.

Consumers. Consumers need accounting information for establishing good accounting control so that cost of production may be reduced with the resultant reduction of the prices of goods they buy.

Sometimes, prices for some goods are fixed by the Government, so it needs accounting information to fix reasonable prices so that consumers and manufacturers are not exploited. Prices are fixed keeping in view fair return to manufacturers on their investments shown in the accounting records. 6. Research Scholars. Accounting information, being a mirror of the financial performance of a business organisation, is of immense value to the research scholars who want to make a study to the financial operations of a particular firm. To make a study into the financial operations of a particular firm, the research scholar needs detailed accounting information relating to purchases, sales, expenses, cost of materials used, current assets, current liabilities, fixed assets, long term liabilities and shareholders' funds which is available in the accounting records maintained by the firm. II Internal Users of Accounting Information. Internal users of accounting information are those persons or groups which are within the organisation.

Following are such internal users :

1. Owners. The owners provide funds for the operations of a business and they want to know whether their funds are being properly used or not. They need accounting information to know the profitability and the financial position of the concern in which they have invested their funds. The financial statements prepared from time to time from accounting records depicts them the profitability and the financial position.

2. Management. Management is the art of getting work done through others, the management should ensure that the subordinates are doing work properly. Accounting information is an aid in this respect because it helps a manager in appraising the performance of the subordinates. Actual performance of the 14 employees can be compared with the budgeted performance they were expected to achieve and remedial action can be taken if the actual performance is not upto the mark. Thus, accounting information provides "the eyes and ears to management". The most important functions of management are planning and controlling. Preparation of various budgets, such as sales budget, production budget, cash budget, capital expenditure budget etc., is an important part of planning function and the starting point for the preparation of the budgets is the accounting information for the previous year. Controlling is the function of seeing that programmes laid down in various budgets are being actually achieved i.e. actual performance ascertained from accounting is compared with the budgeted performance, enabling the manager to exercise controlling case of weak performance. Accounting information is also helpful to the management in fixing reasonable selling prices. In a competitive economy, a price should be based on cost plus a reasonable rate of return. If a firm quotes a price which exceeds cost plus a reasonable rate of return, it probably will not get the order. On the other hand, if the firm quotes a price which is less than its cost, it will be given the order but will incur a loss on account of price being lower than the cost. So, selling prices should always be fixed on the basis of accounting data to get the reasonable margin of profit on sales.

3. Employees. Employees are interested in the financial position of a concern they serve particularly when payment of bonus depends upon the size of the profits earned. They seek accounting information to know that the bonus being paid to them is correct.

SUBSIDIARY BOOKS When numbers of transactions are large, it is practically impossible to record all the transactions through one journal because of the following reasons:

(a) The system of recording all transactions in a journal requires

- (i) Writing down of the name of the account involved as many times as the transactions occur; and

- (ii) An individual posting of each account debited and credited and hence, involves the repetitive journalizing and posting labour.
- (iii) Such a system does not provide the information on a prompt basis.
- (iv) Such a system does not facilitate the installation of an internal check system since only one person can handle the journal.
- (v) The journal becomes bulky and voluminous. To overcome the shortcomings of the use of the journal only as a book of original entry, the journal is sub-divided into special journals. It is subdivided in such a way that a separate book is used for each category of transactions, which are repetitive in nature and are sufficiently large in number. Subsidiary books refer to the journals meant for specific transactions of similar nature. The proforma and number of special journals vary according to the requirements of each enterprise.

Purchases book

A firm records all its credit purchases of goods in Purchase Book or Purchase Day Book. While it records all the cash purchases of goods in the Cash Book.

We do not record Purchases of assets in Purchase Book. Thus, they are recorded in the Journal Proper.

Purchase Book Format

Date	Name of the Supplier and details of Invoice purchases	Invoice ref.	L.F.	Amount (₹)	Remarks
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Sales Book

A firm records all credit sales of goods in the Sales Book or Sales Day Book. It records cash sales of goods in the Cash Book. We do not record the sale of assets in the Sales Book.

Thus, we shall record them in the Journal Proper. In this case, also we record entries from the source documents. Also, we record entries with the net amount of the invoice.

Sales Book Format

Date	Particulars	Invoice ref.	L.F.	Amount (₹)	Remarks
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Purchase Return or Return Outward Book

We record the return of goods purchased in the Purchase Return Book. A Debit Note is prepared for every return of goods in duplicate.

It contains the name of the supplier, details of goods returned and reason thereof. It needs to be dated and serially numbered.

Purchase Return Book

Date	Particulars	Debit Note No.	L.F.	Details	Totals	Remarks
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Sales Return or Return Inwards Book

We record the return of goods sold in the Sales Return Book. A Credit Note is prepared for every return of goods in duplicate.

The Credit Note contains the name of the customer, details of goods returned and reason thereof. It also needs to be dated and serially numbered.

Sales Return Book

Date	Particulars	Outward invoice	L.F.	Details	Totals	Remarks
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Bills Receivable Book

We record all the acceptance of the bills in our favor in the Bills receivable book. We need to post the total of bills receivable book to the Bills receivable A/c. Also, we need to post the individual accounts of the customers.

Bills Receivable Book Format

No. of bills	Daye of receipt	From whom	Name of the receiver	Name of the drawer	Name of acceptor	Date of bill	Due date	L.F.	Amount of bill	How disposed off
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Bills Payable Book

We record all the acceptance of the bills that we issue in favor of others in the Bills payable book. We need to post the total of bills payable book to the Bills payable A/c. Also, we need to post the individual accounts of the suppliers.

Bills payable Book Format

No. of bills	Daye of acceptance	To whom	Name of drawer	Name of the payee	Where payable	Date of bill	Term	Due date	L.F.	Amount of bill how disposed of
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Journal Proper

It includes transactions relating to credit purchase and sale of assets, depreciation, outstanding and pre-paid expenses, accrued and unearned income, opening and closing entries, adjustment entries and rectification entries.

Example on Types of Subsidiary Books

State the appropriate subsidiary book to record the following transactions:

1. Purchase of goods from Ram
2. Purchase of furniture in cash
3. Depreciation on plant and machinery
4. Sale of goods for cash
5. Bad debts from Dolly

Ans.

1. Purchases Book
2. Cash Book
3. Journal proper
4. Cash book
5. Journal proper

CASH BOOK A cash book is a special journal, which is used for recording all cash receipts and cash payments.

Cash book-both a journal and a ledger The cash book is a book of original entry (or prime entry) since transactions are recorded for the first time from the source documents. The cash book is a ledger in the sense that it is designed in the form of a cash account and records cash receipts on the debit side and cash payments on the credit side. Thus, the cash book is both a journal and a ledger.

Types of cash book The various types of cash book from the point of view of uses may be as follows:

1. Single-column cash book: This cash book has one amount column on each side. All cash receipts are recorded on the receipt side and all cash payments on the payment side. In fact, this book is nothing but a Cash Account. Hence, there is no need to open this account in the ledger.

Two-column cash book: This cash book has two amount columns (one for cash and another for discount) one each side. All cash receipts and discount allowed are recorded on the receipt side and all cash payments and discount received are recorded on the payment side.

Three-column cash book: This cash book has three amount columns (one for cash, one for bank and one for discount) on each side. All cash receipts, deposits into bank and discount allowed are recorded on receipt side and all cash payments, withdrawals from bank and discount received are recorded on the payment side. In fact, a three-column cash book serves the purpose of Cash Account as well as Bank Account. Hence, there is no need to open these two accounts in the ledger.

Contra entry: An accounting transaction involves two accounts and there may be a transaction where both cash account and bank account are involved. Since in the ledger there is no separate cash account and bank account, therefore, no posting will be done from the cash book to the ledger in case of such a transaction. The transaction will be recorded on both the side of the cash book. Such an accounting entry, which is recorded on the both the sides of the cash book, is known as contra entry. In order to give hint for the purpose the word 'C' is written in the ledger folio.

Petty cash book: This book is used for the purpose of recording the petty expenses so that the main cash book is relieved of the detailed records of these petty expenses. Normally, one person is handed over a small amount to meet the petty expenses of a given period (say, week, fortnight or month) and is authorized to make such payments and to record them in a separate cash book. Such person, such amount and such cash books are called as 'Petty Cashier', 'Imprest' and 'Petty cash Book' respectively. The Petty Cash Book may or may not be maintained on 'Imprest System'. Under both the systems (i.e. Imprest and Non-imprest), the petty cashier submits the Petty Cash Book to the Head Cashier who examines the Petty Cash Book. Under the Imprest system, the Head Cashier makes the reimbursement of the amount spent by the Petty Cashier but under Non-imprest system, the Head Cashier may handover the Cash to the Petty Cashier equal to/more than less than the amount spent. The format of Petty Cash Book may be designed according to the requirements of the business.
